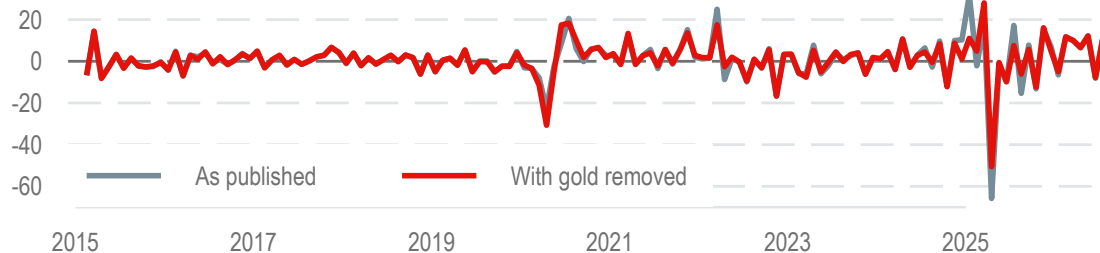


The case for taking nonmonetary gold out of the trade release, on both sides of the calculation

A component belongs in a trade aggregate if it accumulates and if its price moves with the rest of the basket. Gold does neither

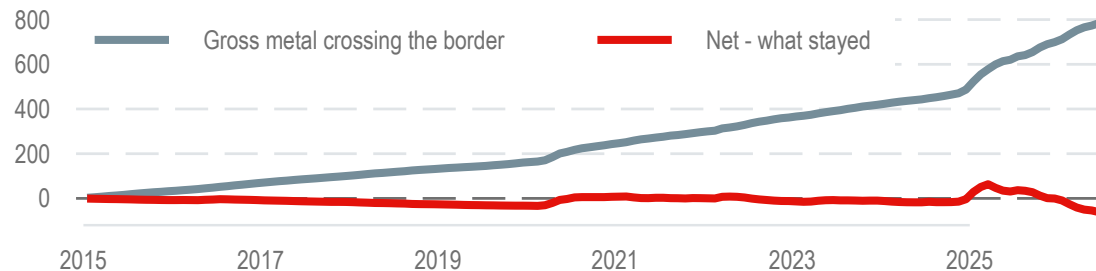
a. Gold is 1% of the level and 17% of the noise

Month-on-month change in US goods imports, \$bn, as published and with gold removed



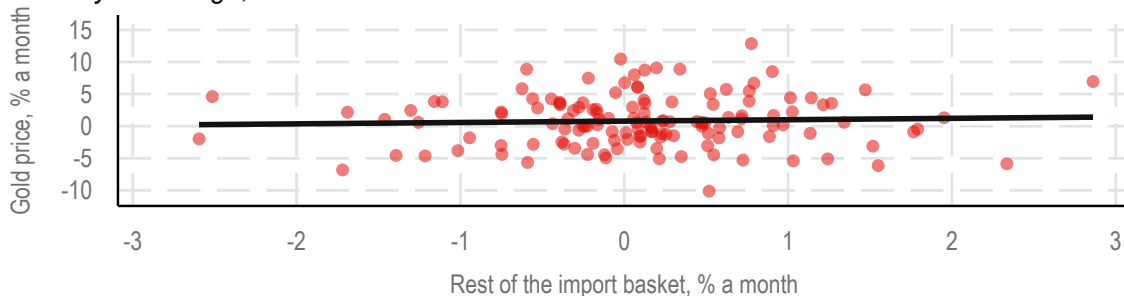
b. Only 8.1% of the metal that crossed the border stayed

Cumulative US gold trade since 2015, \$bn



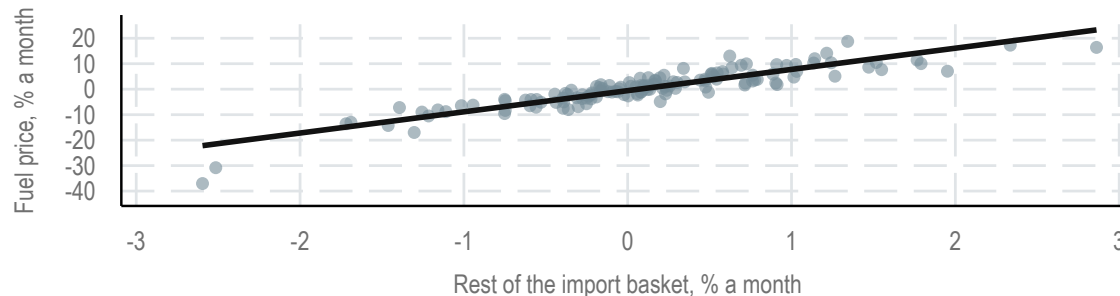
c. Gold's price has nothing to do with import prices

Monthly % change, 2015-2026. Correlation 0.045



d. Fuel's does - so this is a criterion, not an excuse

Same axes. Correlation 0.909



Top row, the flows. Gold averages 1.07% of US goods imports but accounts for 16.7% of the variance of the month-on-month change - sixteen times its weight - and removing it makes the monthly series 12% quieter. The decomposition is the exact one, each component's covariance with the total over the total's variance, which sums to one across components. And the metal does not stay: \$791bn crossed the border gross since 2015 against a net of -\$64bn, so only 8.1% of what crossed remained. Ordinary trade accumulates - non-gold imports have a monthly autocorrelation of 0.96 against gold's 0.66. An aggregate meant to measure goods changing hands is being asked to carry something that mostly changes vaults.

Bottom row, the deflator, and the contrast is the argument. Gold's monthly price change correlates 0.045 with the rest of import inflation and is five times as volatile: putting an orthogonal, far noisier series into a price index adds variance without adding information. Fuel correlates 0.909. Petroleum has the SAME stale-weight problem as gold and a larger one - it drives nearly four index points of divergence between the BLS and NIPA deflators, far more than gold ever did - but oil is genuinely part of what the United States imports and consumes, so it belongs in the index and the remedy for it is a better weighting rule. Gold is orthogonal to everything else in the basket, and the remedy for it is exclusion. That is what makes this a criterion rather than special pleading.

What this does not claim is that the adjustment is large. The deflator effect is worth one to two index points over a decade, and published GDP is unaffected because BEA already removes nonmonetary gold from the national accounts. The claim is the narrower one: BEA has accepted this argument for the national accounts, and the same argument applies to the trade release, which has not.

Source: US Census Bureau; Bureau of Labor Statistics (EIUIR, EIUIR10, EIUIR14270); Bureau of Economic Analysis.